Markup Review Sheet, Edit by Edit

Eighteen numbered edits with document, section, page, old, and new | July 23, 2026

Prepared for Dennis Lanni, HGF Management Company

July 23, 2026, second revision. Three parts. Part one is the public-versus-portal split in one named document, INS-303, for your approval. Part two is every edit from your July 20 markup, numbered, each entry naming its document, its section, its PDF page, the old wording, and the new wording, so review runs edit by edit with nothing to hunt for. Part three is the three items waiting on your input. Page numbers refer to the current editions: INS-302 Developer Guide v1.2 (two pages), INS-303 Investor Guide v1.2 (seven pages), and the Capital Partner Brief revised July 20 (one page).

Part one: the public-versus-portal split in INS-303, the Investor Guide, v1.2

This part concerns one document only: INS-303. Each line gives the chapter and its tag. Reply "approved" to take the split as marked, or name sections to move.

INS-303 Chapter 1, the offer, sections 1.1 through 1.5: all PUBLIC. INS-303 Chapter 2, capital structure: PUBLIC, except section 2.4 (commercial terms set at term sheet), which is PORTAL. INS-303 Chapter 3, funding flow: PUBLIC, except section 3.3 (closing and advance mechanics), which is PORTAL. INS-303 Chapter 4, credit enhancement: sections 4.1 and 4.4 (the bond counsel placeholders) PORTAL; sections 4.2 and 4.3 (statutory protections and the burden ceiling) PUBLIC. INS-303 Chapter 5, security: PUBLIC, except section 5.5 (the waterfall, counsel-gated), which is PORTAL. INS-303 Chapter 6, underwriting and risk: all PUBLIC. INS-303 Chapter 7, administration: PUBLIC, except section 7.3 (maker-and-checker detail) PORTAL, and section 7.4, which states the delinquency principle publicly and keeps reporting detail PORTAL. INS-303 Chapter 8, reporting: PORTAL, except section 8.2 (statutory reporting), which is PUBLIC.

Part two: the edits, one by one

Edit 1. Document: INS-302 Developer Guide v1.2. Section 1, page 1. Your note: the three selling sentences. Old: not present. New, added at the end of section 1: "Three sentences carry the whole idea. It's not a loan to you; it's a tax on the land. You never repay the principal; the lots do. Your cash stays in your pocket at the permit counter."

Edit 2. Document: INS-302 Developer Guide v1.2. Section 2, page 1. Your note: say 25 percent instead of four-to-one. Old: "an appraised value of at least four times the financing (program policy, stricter than the statute's three-to-one in Government Code 53345.8)." New: "financing capped at 25 percent of the lots' appraised value (program policy, stricter than the statute, which allows roughly a third, Government Code 53345.8)."

Edit 3. Document: INS-302 Developer Guide v1.2. Section 4, page 1. Same note, second location. Old: "must find your lots worth at least four times the financing." New: "values your lots, and the financing is capped at 25 percent of that appraised value."

Edit 4. Document: INS-302 Developer Guide v1.2. Section 5, page 1. Your note: the council doesn't need a hearing on annexation. Old: "the city council approves each annexation on its regular calendar... Timing therefore depends on the council calendar, not on a campaign." New: "your parcels join with the unanimous approval of the owner, your signature, without any requirement for further public hearings or additional proceedings (Government Code 53339.3(b) and 53339.7); the clerk simply records the annexation and the amendment to the notice of special tax lien... No hearing, no election, no campaign: paperwork and a recording." Verified against the statute directly, which is stronger authority than the INS-002 page you cited.

Edit 5. Document: INS-302 Developer Guide v1.2. Section 6, page 1. Your note: word the costs as a percentage plus hard fees. Old: "You pay the deal's execution costs, targeted at $5,000 to $30,000 per project (a founder estimate, pending vendor quotes): appraisal, document preparation, title, recording, origination, and the annexation itself. Program fees are set at term sheet, not in marketing." New: "You pay the deal's costs in two parts: an origination fee set as a percentage of the amount financed, stated on your term sheet, plus the hard costs of execution, appraisal, document preparation, title, recording, and the annexation itself, targeted at $5,000 to $30,000 per project (a founder estimate, pending vendor quotes)."

Edit 6. Document: INS-302 Developer Guide v1.2. Section 10, page 2. Your note: reframe what-it-is-not on the money side. Old: "It is not free money: you still pay execution costs and the tax on lots you hold. It is not a personal loan: no personal guarantee, the security is the land..." New: "This is not a loan to you. You never sign a personal guarantee, and nobody ever sends you a bill to pay the money back. Instead, each lot in your project picks up a small yearly charge on its property tax bill, and that charge is what pays the money back over time..." continuing through escrow disclosure, setup costs, participation, and the term sheet caveat.

Edit 7. Document: INS-303 Investor Guide v1.2. Section 1.4, page 1. Your note: you're missing that the investment is tax exempt.

Old: not present (the prior 1.4, "What is proven and what is not," moved to 1.5). New section 1.4, "Tax status of the interest": "The notes are intended to be issued as tax-exempt obligations, exempt from federal and California income tax. Nothing about the structure is novel on this point: the issuer is a public agency, the special tax finances public facilities, and tax-exempt treatment is the customary pattern for California CFD obligations... Bond counsel's opinion, delivered at closing on each note, is what makes the exemption effective for a purchaser."

Edit 8. Document: Capital Partner Brief, one page. Your notes: 25 percent framing, "liens," the duplicate honesty sentence, and rate stability. The title, old: "Small notes. County-collected. Four-to-one covered." New: "Small notes. County-collected liens. 25 percent debt-to-value." The intro sentence "The program is pre-launch and this page says exactly what is proven and what is not" is removed (the Read-this-first box keeps the substance). The security-stack bullet, old: "Four-to-one appraised cushion by an independent MAI to State Treasurer (CDIAC) standards; the statute requires three." New: "Debt capped at 25 percent of appraised value, set by an independent MAI appraisal to State Treasurer (CDIAC) standards; the statute permits roughly a third." The rate-stability bullet is removed and replaced by: "Structured for tax-exempt interest, federal and California. A public agency issues, the special tax finances public facilities, and tax exemption is the customary pattern for California CFD obligations; bond counsel's opinion at closing delivers it on each note."

Edit 9. Document: INS-303 Investor Guide v1.2. Section 3.2, page 2. July 23 consistency sweep carrying your 25 percent instruction into the investor manual. Old: "against the program's four-to-one value-to-lien policy (A2, A3)." New: "against the program's cap of 25 percent debt to appraised value (A2, A3)."

Edit 10. Document: INS-303 Investor Guide v1.2. Section 4.2, second listed protection, page 3. Old: "The four-to-one appraised value-to-lien cushion, an INSITE program policy above the statutory three." New: "Debt capped at 25 percent of appraised value, an INSITE program policy stricter than the statutory three."

Edit 11. Document: INS-303 Investor Guide v1.2. Section 5.3, title and body, page 3. Old: "The four-to-one test in practice... the issuer must find the taxed property worth at least three times the debt (section 53345.8, A2). INSITE requires four." New: "The 25 percent debt-to-value test in practice... the issuer must find the taxed property worth at least three times the debt, meaning debt of roughly a third of value (section 53345.8, A2). INSITE caps debt at 25 percent of appraised value."

Edit 12. Document: INS-303 Investor Guide v1.2. Section 6.1, page 3. Old: "the appraisal and the four-to-one cushion." New: "the appraisal and the 25 percent debt-to-value cap."

Edit 13. Document: INS-303 Investor Guide v1.2. Section 6.2, page 3. Old: "An appraisal that will not support four-to-one at the requested note size." New: "An appraisal that will not keep debt inside 25 percent of value at the requested note size."

Edits 14 through 18, same instruction, remaining surfaces, one line each. Edit 14, website index page, five locations, all now read 25 percent of appraised value. Edit 15, Developer One-Pager, appraisal bullet and eligibility snapshot, now "financing capped at 25 percent of appraised value." Edit 16, City Agency Brief, policy bullet, now "caps debt at 25 percent of appraised value, stricter than the statute's three." Edit 17, INS-201 Data Package Checklist, eligibility paragraph, now "caps the financing at 25 percent of appraised value." Edit 18, INS-301 Agency Guide reference draft, four locations including the worked example, now the 25 percent framing. The underlying policy is unchanged throughout: the same ratio, said one way everywhere.

Part three: the three items waiting on your input

First, the 19 percent stabilized debt-to-value figure from your markup needs its basis before it ships on marketing. Second, the replacement permit data you mentioned needs the source file or link. Third, single-lot eligibility needs your written confirmation, because it changes the whitepaper, both guides, the site, and the brief, and it gets propagated in one pass once confirmed.